

found that returns for the turn of the month consistently and significantly exceeded averages during the interval from 1928 through 1993 and “that the total return from the S&P 500 over this sixty-five-year period was received mostly during the turn of the month.”¹⁷ The study implies that investors making regular purchases may benefit by scheduling those purchases prior to the turn of the month.

Finally, as of this writing, during the course of its existence, the Dow Jones Industrial Average (DJIA) has never posted a net decline over any year ending in a “5.” Of course, this may be purely coincidental.

Validity exists in both the efficient market and the anomalous market theories. In reality, markets are neither perfectly efficient nor completely anomalous. Market efficiency is not black or white but rather, varies by degrees of gray, depending on the market in question. In markets exhibiting substantial inefficiency, savvy investors can strive to outperform less savvy investors. Many believe that large-capitalization stocks, such as GE and Microsoft, tend to be very informative and efficient stocks but that small-capitalization stocks and international stocks are less efficient, creating opportunities for outperformance. Real estate, while traditionally an inefficient market, has become more transparent and, during the time of this writing, could be entering a bubble phase. Finally, the venture capital market, lacking fluid and continuous prices, is considered to be less efficient due to information asymmetries between players.

Rational Economic Man versus Behaviorally Biased Man

Stemming from neoclassical economics, *Homo economicus* is a simple model of human economic behavior, which assumes that principles of perfect self-interest, perfect rationality, and perfect information govern economic decisions by individuals. Like the efficient market hypothesis, *Homo economicus* is a tenet that economists uphold with varying degrees of stringency. Some have adopted it in a semistrong form; this version does not see rational economic behavior as perfectly predominant but still assumes an abnormally high occurrence of rational economic traits. Other economists support a weak form of *Homo economicus*, in which the corresponding traits exist but are not strong. All of these versions share the core assumption that humans are “rational maximizers” who are purely self-interested and make perfectly rational economic decisions. Economists like to use the concept of rational economic man for two primary reasons:

1. *Homo economicus* makes economic analysis relatively simple. Naturally, one might question how useful such a simple model can be.